

# DECODED EXPLAINED

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14th August, 2026

## NITI Report: Manufacturing Needs Deeper Localisation, Tech Push

### Manufacturing sectors need deeper localisation, tech push: NITI report

ENS Economic Bureau  
New Delhi, August 13

INDIA NEEDS to move beyond assembly-led manufacturing and focus on deeper domestic value addition in chemicals, textiles, telecom and network equipment, and solar photovoltaic manufacturing, with sector-specific measures to address raw-material dependence, technology gaps, scale, and export competitiveness, NITI Aayog said in a new report.

The government think-tank released the report titled "Key Sectors to Position India as a Global Manufacturing Hub", which has extensively analysed four sectors: Chemicals, Telecom & Networking Equipment, Textiles and Solar Photovoltaic manufacturing.

The report said the priority in chemicals is to improve domestic feedstock availability, develop integrated manufac-

turing clusters and increase downstream value addition. India's chemicals industry was valued at \$200-220 billion in FY25, accounts for 3-3.5% of the global market and is expected to grow at 6-8% annually over the next five years. For textiles, the report calls for greater focus on man-made fibres (MMF), technical textiles, modernisation of MSMEs and wider export markets.

Around 80% of textile and apparel producers are MSMEs, many of which face gaps in machinery, technology, certification and digital infrastructure. The report suggests modernising outdated machinery, establishing cluster-level certification centres and improving access to international markets.

It also recommends tackling the cost disadvantage in MMF manufacturing. About 35% of India's MEG requirement is imported. FE

## NITI Report: Manufacturing Needs Deeper Localisation, Tech Push

| #        | Sector                                                                       | Constant prices   | share (%)      | Current prices    | share (%)      |
|----------|------------------------------------------------------------------------------|-------------------|----------------|-------------------|----------------|
| <b>1</b> | <b>Agriculture Sector</b>                                                    | <b>2,476,805</b>  | <b>14.41 %</b> | <b>5,385,291</b>  | <b>17.94 %</b> |
| 1.1      | Agriculture, forestry & fishing                                              | 2,476,805         | 14.41 %        | 5,385,291         | 17.94 %        |
| <b>2</b> | <b>Industry Sector</b>                                                       | <b>5,270,112</b>  | <b>30.66 %</b> | <b>8,144,190</b>  | <b>27.13 %</b> |
| 2.1      | Mining & quarrying                                                           | 338,884           | 1.97 %         | 540,788           | 1.80 %         |
| 2.2      | Manufacturing                                                                | 2,953,647         | 17.18 %        | 4,169,419         | 13.89 %        |
| 2.3      | Electricity, gas, water supply & other utility services                      | 405,296           | 2.36 %         | 806,974           | 2.69 %         |
| 2.4      | Construction                                                                 | 1,572,285         | 9.15 %         | 2,627,009         | 8.75 %         |
| <b>3</b> | <b>Services Sector</b>                                                       | <b>9,440,530</b>  | <b>54.93 %</b> | <b>16,492,552</b> | <b>54.93 %</b> |
| 3.1      | Trade, hotels, transport, communication and services related to broadcasting | 3,176,830         | 18.48 %        | 5,257,396         | 17.51 %        |
| 3.2      | Financial, real estate & prof servs                                          | 4,088,072         | 23.79 %        | 6,881,866         | 22.92 %        |
| 3.3      | Public Administration, defence and other services                            | 2,175,628         | 12.66 %        | 4,353,290         | 14.50 %        |
|          | <b>GVA at basic prices</b>                                                   | <b>17,187,446</b> | <b>100 %</b>   | <b>30,022,033</b> | <b>100 %</b>   |

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| #        | Sector                                                                       | Constant prices   | share (%)      | Current prices    | share (%)      |
|----------|------------------------------------------------------------------------------|-------------------|----------------|-------------------|----------------|
| <b>1</b> | <b>Primary Sector</b>                                                        | <b>2,815,689</b>  | <b>16.38 %</b> | <b>5,926,079</b>  | <b>19.74 %</b> |
| 1.1      | Agriculture, forestry & fishing                                              | 2,476,805         | 14.41 %        | 5,385,291         | 17.94 %        |
| 1.2      | Mining & quarrying                                                           | 338,884           | 1.97 %         | 540,788           | 1.80 %         |
| <b>2</b> | <b>Secondary Sector</b>                                                      | <b>4,931,228</b>  | <b>28.69 %</b> | <b>7,603,402</b>  | <b>25.33 %</b> |
| 2.1      | Manufacturing                                                                | 2,953,647         | 17.18 %        | 4,169,419         | 13.89 %        |
| 2.2      | Electricity, gas, water supply & other utility services                      | 405,296           | 2.36 %         | 806,974           | 2.69 %         |
| 2.3      | Construction                                                                 | 1,572,285         | 9.15 %         | 2,627,009         | 8.75 %         |
| <b>3</b> | <b>Tertiary Sector</b>                                                       | <b>9,440,530</b>  | <b>54.93 %</b> | <b>16,492,552</b> | <b>54.93 %</b> |
| 3.1      | Trade, hotels, transport, communication and services related to broadcasting | 3,176,830         | 18.48 %        | 5,257,396         | 17.51 %        |
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## **NITI Report: Manufacturing Needs Deeper Localisation, Tech Push**

**The report, titled Key Sectors to Position India as a Global Manufacturing Hub, places textiles, chemicals, solar equipment, telecom and electronics among the industries most capable of moving the needle.**

**Among the sectors examined, textiles and apparel receive some of the strongest attention. NITI Aayog says the industry contributes about 2%. It is also the country's second-largest employer after agriculture**

**The country is now the world's second-largest telecommunications market, with more than 1.2 billion subscribers, about 85 per cent telecom penetration and nearly 75 percent internet usage, according to the report.**

## **NITI Report: Manufacturing Needs Deeper Localisation, Tech Push**

**8] Which reference to the Indian economy, consider the following activities: [2002]**

1. Agriculture, Forestry and Fishing
2. Manufacturing
3. Trade, Hotels Transport and Communication
4. Financing, Insurance, Real Estate and Business services

The decreasing order of the contribution of these sectors to the Gross Domestic Product (GDP) at factor cost at constant prices (2000'01) is

- |               |               |
|---------------|---------------|
| a) 3, 1, 2, 4 | b) 1, 3, 4, 2 |
| c) 3, 4, 1, 2 | d) 1, 3, 2, 4 |

# SC Has Nurtured Environmental Law — Do Its Decisions Look Distant Today?

## SC has nurtured environmental law. Do its decisions look distant today?

IN THE early years of Indian Independence, there was no precise environmental policy. The Constitution of India had a few provisions regarding the environment, though the word "environment" was not expressly mentioned.

In 1976, Parliament drew upon the commitment made by India at the UN Conference on Human Environment held at Stockholm. The views expressed at the Stockholm Conference form the core of the environmental philosophy of India that has found expression in various statutes and policy pronouncements. These provisions were inserted in the Constitution by the Constitution (forty-second amendment) Act, 1976 (the Amendment Act), which included Article 48A and Article 51A (g).

Article 48A is a directive principle of state policy. It advises the state that while framing laws or executing policy decisions, it should endeavour to protect and improve the environment and to safeguard the forests and wildlife of the country. Article 51A is a separate provision under Part IVA providing for fundamental duties of citizens. It says that it shall be the duty of every citizen to protect and improve the natural environment.

The Amendment Act introduced a host of provisions, starting from amendments to the Preamble. Some of its provisions became highly controversial, both substantively and in the political and constitutional context as internal Emergency was then in force. Shanti Bhushan, one of India's most prominent lawyers, became the law minister when a new government came to power in 1977. There was clamour all around that all the amendments should be removed lock, stock and barrel. It is to his eternal credit that, notwithstanding his sharp political disagreement with the outgoing PM and despite overwhelming public demand, he did not touch many of the provisions.

Though we had the statutory framework before and after the Stockholm Conference, it is the Bhopal gas leak tragedy of 1984 that really galvanised the Supreme Court into action. In *Union Carbide vs Union of India*, the Supreme Court developed the doctrine of absolute liability. This is based on the principle that when an enterprise involves inherently dangerous activity and harm results to anybody because of a mishap relating to the enterprise or activity, the enterprise would be obligated to repay each one of the injured or affected individuals. The polluter pays principle was introduced by the Rio Summit of 1982 and was applied for the first time in India in the case of *Indian Council for Enviro-Legal Action Vs. Union of India*.

In the case of *Vellore Citizens' Welfare Forum vs Union of India*, the Supreme Court declared that the precautionary principle includes three major conditions: the state must anticipate, prevent and attack the cause of environmental degradation. It is a preventive principle based on precaution.

In my dissenting judgment in *Confederation of Real Estate Developers of India (CREDAI) vs Vanashakti*, which reviewed the original *Vanashakti* judgment, I have said that the precautionary principle is the cornerstone of environmental jurisprudence. Polluter pays is only a principle of reparation. In other words, if at all there has to be a grading of the environmental principles, precautionary principle has to be placed above the principle of polluter pays.

The principle of sustainable development means that the state must make efforts to maintain a balance between the environment and development. In *Vellore Citizens' Welfare Forum*, the Supreme Court held that the precautionary principle and polluter pays principle are essential features



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When a conscientious citizen approaches the Court with a grievance that a particular project is in breach of environmental norms, what should be the approach of the Court?

of sustainable development. Sustainable development has come to be accepted as a part of customary international law.

In the case of *M.C. Mehtavs Kamal Nath*, famously known as the Span Motel case, the Supreme Court developed the concept of the public trust doctrine. While Span Motel had to bear the cost of compensation and had to face penalties under the polluter pays principle, it was the Himachal Pradesh government which was pulled up for breaching public trust. The Supreme Court also emphasised the principle of inter-generational equity, holding that the present generation has a duty to protect the environment for future generations. From these judgments, and there are many more, we can conclude that if Indian environmental jurisprudence has a parent, it is the Supreme Court. It has nurtured environmental law from its infancy. But having said that, I ask myself: Today, do these decisions look very distant?

My former colleague in the Bombay High Court, Justice Gautam Patel, has analysed Supreme Court judgments dealing with the environment in an article titled 'Consistently Inconsistent: Environmental Law and the Supreme Court'. Justice Patel finds that by and large, the Supreme Court has supported the environmental cause raised by non-governmental organisations. It has not shown the same degree of support to cases challenging infrastructure projects. Justice Patel says

it is in precisely this area that an intervention of the Supreme Court is vital, and yet it is here that we find a reluctance to come down on the side of the environmentalists. He says the jurisprudential inconsistency is apparent when one sets these decisions against the principles that the Supreme Court itself repeatedly enunciates in the broadest possible terms. It is that consist-

ent inconsistency that exacerbates the threats to the environment.

Is there any conflict between environment and development? The answer, according to me, is an emphatic no. Three decades ago, the Supreme Court had observed in the *Vellore Citizens* case that the traditional concept that development and ecology are opposed to each other is no longer acceptable. In my *Vanashakti* review judgment, I have said that it is unfortunate that a false narrative is being created pitting environment against development. Both are part of the constitutional construct of sustainable development.

When a conscientious citizen approaches the Court with a grievance that a particular project is in breach of environmental norms, what should be the approach of the court? Should the Court throw out the challenge at the threshold by asking aloud, almost posing a leading question to itself, whether any development project in India has gone unchallenged? It is true that there are many busybodies who file frivolous petitions. However, such attempts have been deprecated by the courts, but that cannot be the reason to paint all challengers with the same brush. There are committed environmentalists in our country who continue to espouse the cause of the environment. Where would they go if the doors of the courts are closed? According to me, that cannot be the approach of a constitutional court. Instead, the Court should ask: Has the project complied with the environmental norms? The Court should assure itself and citizens that all projects, big or small, infrastructure or otherwise, should comply with the environmental norms.

The writer is a Supreme Court Justice. Edited excerpts from a speech he delivered on August 8 at Vivekananda Kendra, Guwahati

## SC Has Nurtured Environmental Law — Do Its Decisions Look Distant Today?

- **Constitutional and Statutory Roots**

- The Constitution originally had no explicit mention of 'environment'; the 42nd Amendment Act, 1976 inserted Article 48A (Directive Principle) and Article 51A(g) (Fundamental Duty), following India's commitment at the 1972 Stockholm Conference.
- The Bhopal gas leak tragedy (1984) galvanised the Supreme Court into active environmental jurisprudence.

- **Key Judicial Doctrines Developed**

- **Union Carbide vs Union of India** developed the doctrine of absolute liability, holding hazardous enterprises liable to compensate for harm regardless of fault.
  - **Strict Liability Principle:**
    - Under it, a party/company is not liable and need not pay compensation if a hazardous substance escapes its premises by accident or by an 'act of God' (Force Majeure) among other circumstances.
  - **Absolute Liability Principle:**
    - Under it, a party/company in a hazardous industry cannot claim any exemption. It has to mandatorily pay compensation, whether or not the disaster was caused by its negligence.

## SC Has Nurtured Environmental Law — Do Its Decisions Look Distant Today?

- Indian Council for Enviro-Legal Action vs Union of India applied the polluter pays principle in India for the first time;
- Vellore Citizens' Welfare Forum vs Union of India held the precautionary and polluter pays principles are essential features of sustainable development.
- M.C. Mehta vs Kamal Nath (the Span Motel case) developed the public trust doctrine.
  - 'Public Trust Doctrine is a legal principle asserting that the government acts as the custodian of certain natural resources for the benefit of the public.

**“The most significant achievement of modern law in India is the constitutionalization of environmental problems by the Supreme Court.” Discuss this statement with the help of relevant case laws.**

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# Europe's AI Rules May Become India's Opportunity

## Europe's AI rules may become India's opportunity

**T**he Government of India has recently indicated that it is considering a standalone legislation to govern Artificial Intelligence (AI). However, the pressure on the AI supply chain is already felt due to the European Union (EU)'s AI Act which was entered into force in August 2024 and became applicable on August 2, 2026. The Act has adopted a risk-based approach to artificial intelligence ("AI") regulation – prohibiting certain AI systems, regulating high-risk ones, and imposing lighter checks for limited-risk use cases.

While most Indian firms are likely aware that the Act applies when their AI systems produce results in Europe, there is a more consequential story that goes beyond a compliance checklist.

### A post-approval issue

The Act was drafted with a particular picture in mind, and that picture does not match how India's technology industry actually works. This mismatch, more than the law's long reach, is what Indian companies should be watching. The Act assumes that software, once built and approved, is sold as a finished product. India's technology industry has never worked that way. The devil lies in the legal consequences when an AI is updated post-approval.

Before a 'high-risk' AI system, used for sensitive decisions such as hiring or education, can enter the European market, it must clear a 'conformity assessment' under Article 43: proof that it meets the law's standards on testing, documentation and human oversight. For most such systems the provider assesses itself against the Act's criteria and signs its own declaration; only a narrow set, mainly certain biometric tools, must be checked by an independent body. Either way, once the box is ticked, the system can run undisturbed. However, if the system is "substantially modified", the process must be repeated. A substantial modification is a change



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India could build an industry around the paperwork and proof required under the European Union's Artificial Intelligence (AI) Act

not contemplated at the time of the original assessment, one that affects its compliance or alters its intended purpose.

In June 2026, the EU gave final approval to a package easing its own timelines, pushing the compliance deadline for these standalone high-risk AI systems to December 2027 and to August 2, 2028 for high-risk AI-embedded in regulated products. It retained a grandfathering clause under which systems already on the market before this date are exempted from the Act's obligations until substantially modified. A foreseen change examined during the original conformity assessment does not trigger a fresh one, while an unanticipated change likely does.

This distinction is not just a technicality. It would likely favour business models built on predictable product road maps. Providers of standardised AI products can assess planned upgrades during the initial assessment. Businesses that rely on bespoke services, offering competitive adaptability to individual client needs, may find it harder to demonstrate that future changes fall within the scope of the original assessment.

### Unplanned improvement and regulation

India's technology industry, from the large IT services firms to the global capability centres in Bengaluru and Hyderabad, runs on exactly this kind of responsive adaptation. The Act also tethers liability to firms that substantially modify someone else's high-risk system. Such firms may be treated as the provider of the modified system, inheriting every one of the original maker's obligations. Thus, for an industry whose very promise is improvement on demand, an unplanned improvement that changes an AI system's intended purpose may trigger a fresh regulatory exercise.

Yet, the Act also presents an opportunity. High-risk compliance is operationalised through

paperwork and proof. Most providers will be permitted to carry out that conformity assessment themselves, but they will do so against harmonised technical standards still being drafted. The underlying work – governance measures, technical documentation, testing regimes – has to be done in volume. The scale of this obligation is likely to generate demand for quality legal and technical professionals, which India can provide. Indian professional services firms have supported clients across data protection, financial regulation and technical assurance. They can provide regulatory capability for the Act too.

### Tap the trade agreement

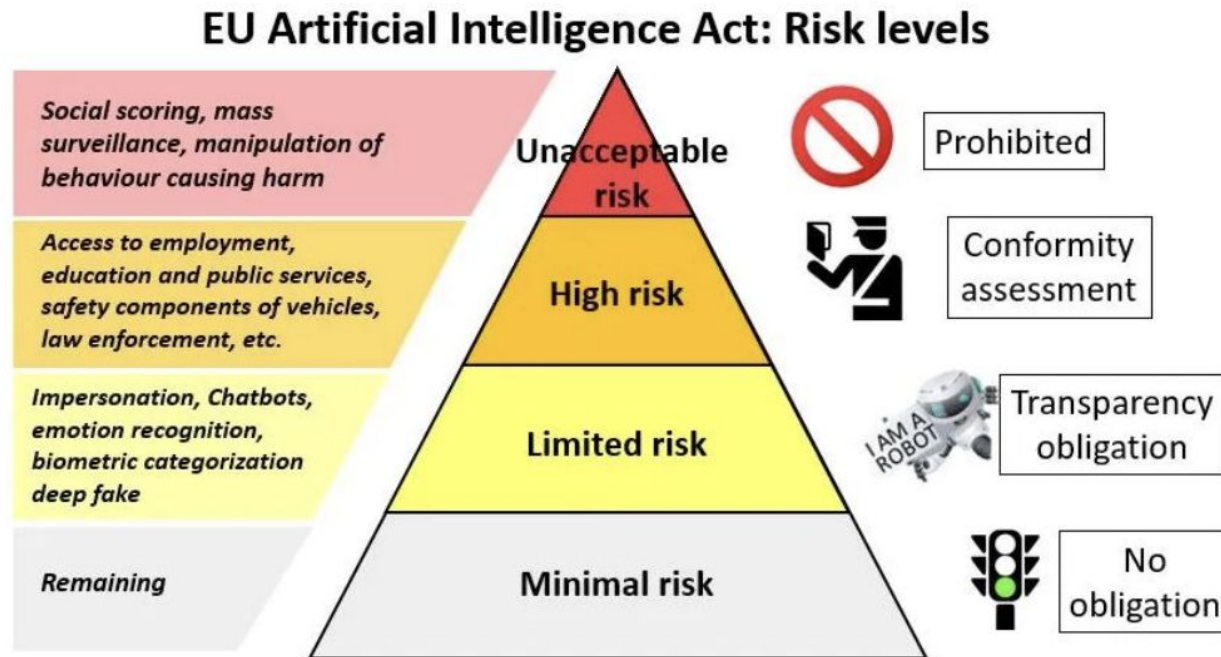
A longer-term vision extends beyond compliance services. The Act creates a pathway for conformity assessment bodies established in third countries to be recognised and perform the functions of notified bodies, where the EU has concluded an appropriate agreement, and those bodies satisfy the requirements. This recognition is a question for treaty negotiation, and India has just signed a treaty capable of carrying it.

The India-EU Free Trade Agreement that was concluded in January includes standing machinery and regulatory cooperation provisions. If India can secure institutional arrangements as part of its partnership with the EU, it could become not just a supplier of AI compliance services but also a participant in the EU's conformity assessment ecosystem. Going ahead, it would provide the legal gateway through which qualified Indian conformity assessment bodies could eventually perform functions recognised under the Act. Europe has written itself a mountain of compliances and India has the capacity to do it. There is a version of this where the rules India fears become the work it sells. Which version arrives is still being decided, and not for much longer.

## Europe's AI Rules May Become India's Opportunity

### EU AI Act

1. It is the world's first comprehensive Artificial Intelligence law.
2. Taking a horizontal, risk-based approach that will apply across sectors of AI development, the EU AI Act classifies the technology into four categories: Prohibited, high-risk, limited-risk, and minimal-risk.



# Thank You